

FORM TP 2010224



TEST CODE **02233020**

MAY/JUNE 2010

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

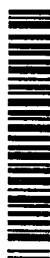
UNIT 2 – PAPER 02

2½ hours

27 MAY 2010 (p.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.



SECTION A

MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

1. (a) Define the term 'Just-in-Time (JIT) operations' and discuss three elements of approach to quality used by JIT systems. **[14 marks]**
- (b) (i) Identify THREE requirements for effective inventory management. **[3 marks]**
- (ii) State FOUR reasons why firms hold inventories. **[8 marks]**

Total 25 marks

2. The table below shows the amount of materials used at Afoor's, a manufacturing company, and the output of workers over a five-week period.

Week	Output (units)	Workers	Materials (lbs)
1	300	6	45
2	340	7	50
3	320	7	50
4	350	8	55
5	240	5	40

The standard price of materials at Afoor's is \$140 per unit. The employees work 40-hour weeks at a rate of \$12 per hour. Overhead is 1.5 times weekly labour cost and material cost is \$6 per pound.

- (a) (i) Compute the labour productivity for EACH of the FIVE weeks shown, using output per worker per hour as a measure of labour productivity. **[10 marks]**
- (ii) Explain the implication of the productivity figures for the company. **[3 marks]**
- (b) Afoor's has been experiencing low productivity at the factory. Discuss THREE steps that the company can take towards improving productivity. **[12 marks]**

Total 25 marks

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SECTION B

MODULE 2: FUNDAMENTALS OF MARKETING

Answer ONE question from this section.

This scenario applies to Question 3 and Question 4.

The owner of Fruity Juice Co. Ltd, manufacturers of natural juice, recently attended a marketing seminar and has noted the following key concepts which he believes would be useful if implemented in his business:

- Primary and secondary market research
- Market segmentation
- Niche marketing

3. (a) Define the terms 'primary research' and 'secondary research', giving ONE advantage of EACH. [8 marks]
- (b) Discuss FOUR ways in which market research may be beneficial to Fruity Juice Co. Ltd. [17 marks]

Total 25 marks

4. (a) Distinguish between 'market segmentation' and 'niche marketing'. [4 marks]
- (b) Outline TWO benefits of niche marketing to Fruity Juice Co. Ltd. [4 marks]
- (c) Discuss TWO benefits and TWO drawbacks of market segmentation to Fruity Juice Co. Ltd. [17 marks]

Total 25 marks

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SECTION C

MODULE 3: SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

5. The governments in many Caribbean countries have been encouraging the growth of small businesses.

- (a) Outline THREE difficulties faced by small businesses in your country. [9 marks]
- (b) Discuss FOUR **main** contributions of small businesses to the development of your country's economy. [16 marks]

Total 25 marks

6. Jemma has just completed a Degree in Child Care Studies and now wishes to set up a small nursery business in her neighbourhood.

Discuss FIVE factors that will impact on the success of Jemma's business. [25 marks]

Total 25 marks

END OF TEST